

Customer Relationship Management

- A customer-centric focus
 - Customer relationships have become a company's most valued asset
 - Every company's strategy should be to find and retain the most profitable customers possible





Contact and Account Management

- CRM helps sales, marketing, and service professionals capture and track relevant data about
 - Every past and planned contact with prospects and customers
 - Other business and life cycle events of customers
- Data are captured through customer touchpoints
 - Telephone, fax, e-mail
 - Websites, retail stores, kiosks
 - Personal contact





Customer Service and Support

- A CRM system gives service reps real-time access to the same database used by sales and marketing
 - Requests for service are created, assigned, and managed
 - Call center software routes calls to agents
 - Help desk software provides service data and suggestions for solving problems
- Web-based self-service enables customers to access personalized support information





Benefits of CRM

- Benefits of CRM
 - ☐ Identify and target the best customers
 - ☐ Real-time customization and personalization of products and services
 - ☐ Track when and how a customer contacts the company
 - ☐ Provide a consistent customer experience
 - ☐ Provide superior service and support across all customer contact points





Trends in CRM

- Collaborative CRM
 - Easy collaboration with customers, suppliers, and partners
 - Improves efficiency and integration throughout supply chain
 - Greater responsiveness to customer needs through outside sourcing of products and services
- Portal-based CRM
 - Provides users with tools and information that fit their needs
 - Empowers employees to respond to customer demands more quickly
 - Helps reps become truly customer-faced
 - Provides instant access to all internal and external customer information





What is ERP?

- Enterprise resource planning is a cross-functional enterprise system
 - An integrated suite of software modules
 - Supports basic internal business processes
 - Facilitates business, supplier, and customer information flows



Benefits and Challenges of ERP

- ERP Business Benefits
 - ☐ Quality and efficiency
 - ☐ Decreased costs
 - ☐ Decision support
 - ☐ Enterprise agility
- ERP Costs
 - ☐ Risks and costs are considerable
 - ☐ Hardware and software are a small part of total costs
 - ☐ Failure can cripple or kill a business



Causes of ERP Failures

- Most common causes of ERP failure
 - Under-estimating the complexity of planning, development, training
 - Failure to involve affected employees in planning and development
 - Trying to do too much too fast
 - Insufficient training
 - Insufficient data conversion and testing
 - Over-reliance on ERP vendor or consultants





Electronic Data Interchange

- One of the earliest uses of information technology for supply chain management
- The electronic exchange of business transaction documents between supply chain trading partners
- The almost complete automation of an e-commerce supply chain process
- Many transactions occur over the Internet, using secure virtual private networks





Benefits and Challenges of SCM

■ Key Benefits

- ☐ Faster, more accurate order processing
- ☐ Reductions in inventory levels
- ☐ Quicker times to market
- ☐ Lower transaction and materials costs
- ☐ Strategic relationships with supplier





What is CRM?

- Managing the full range of the customer relationship involves
 - Providing customer-facing employees with a single, complete view of every customer at every touch point and across all channels
 - Providing the customer with a single, complete view of the company and its extended channels
- CRM uses IT to create a cross-functional enterprise system that integrates and automates many of the customer-serving processes





Marketing and Fulfillment

- CRM systems help with direct marketing campaigns by automatic such tasks as
 - ☐ Qualifying leads for targeted marketing
 - ☐ Scheduling and tracking mailings
 - ☐ Capturing and managing responses
 - ☐ Analyzing the business value of the campaign
 - ☐ Fulfilling responses and requests





Retention and Loyalty Programs

- It costs 6 times more to sell to a new customer
- An unhappy customer will tell 8-10 others
- Boosting customer retention by 5 percent can boost profits by 85 percent
- The odds of selling to an existing customer are 50 percent; a new one 15 percent
- About 70 percent of customers will do business with the company again if a problem is quickly taken care of
- Enhancing and optimizing customer retention and loyalty is a primary objective of CRM
 - Identify, reward, and market to the most loyal and profitable customers
 - Evaluate targeted marketing and relationship programs





Trends in CRM

- Operational CRM
 - Supports customer interaction with greater convenience through a variety of channels
 - Synchronizes customer interactions consistently across all channels
 - Makes the company easier to do business with
- Analytical CRM
 - Extracts in-depth customer history, preferences, and profitability from databases
 - Allows prediction of customer value and behavior
 - Allows forecast of demand
 - Helps tailor information and offers to customer needs





ERP: The Business Backbone

- ERP is a cross-functional enterprise backbone that integrates and automates processes within
 - ☐ Manufacturing
 - ☐ Logistics
 - ☐ Distribution
 - ☐ Accounting
 - ☐ Finance
 - ☐ Human resources





Supply Chain Management (SCM)

- Fundamentally, supply chain management helps a company
 - ☐ Get the right products
 - ☐ To the right place
 - ☐ At the right time
 - ☐ In the proper quantity
 - ☐ At an acceptable cost



What is a Supply Chain?

- The interrelationships
 - With suppliers, customers, distributors, and other businesses
 - Needed to design, build, and sell a product
- Each supply chain process should add value to the products or services a company produces
 - Frequently called a value chain





Sales

- A CRM system provides sales reps with the tools and data resources they need to
 - Support and manage their sales activities
 - Optimize cross- and up-selling
- CRM also provides the means to check on a customer's account status and history before scheduling a sales call





CRM Failures

- Business benefits of CRM are not guaranteed
 - 50 percent of CRM projects did not produce promised results
 - 20 percent damaged customer relationships
- Reasons for failure
 - Lack of understanding and preparation
 - Not solving business process problems first
 - No participation on part of business stakeholders involved



Goals of SCM

- The goal of SCM is to efficiently
 - ☐ Forecast demand
 - ☐ Control inventory
 - ☐ Enhance relationships with customers, suppliers, distributors, and others
 - ☐ Receive feedback on the status of every link in the supply chain



Planning & Execution Functions of SCM

- Planning
 - ☐ Supply chain design
 - ☐ Collaborative demand and supply planning
- Execution
 - ☐ Materials management
 - ☐ Collaborative manufacturing
 - ☐ Collaborative fulfillment
 - ☐ Supply chain event management
 - ☐ Supply chain performance management



Benefits and Challenges of SCM

■ Key Challenges

- ☐ Lack of demand planning knowledge, tools, and guidelines
- ☐ Inaccurate data provided by other information systems
- ☐ Lack of collaboration among marketing, production, and inventory management
- ☐ SCM tools are immature, incomplete, and hard to implement

